

Strategy Capital Stack

Three Ways to Own Bitcoin

BTC · MSTR · STRC — 2026-05-19 FOR FRENS AND FAMILIE ONLY

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01 — BUSINESS FRAME

Strategy Inc (formerly MicroStrategy) operates a Bitcoin acquisition flywheel: issue equity (MSTR) and preferred stock (STRC) → deploy proceeds into BTC → rising BTC collateral supports further issuance. The company holds **843,738 BTC** as of May 18 2026 (CoinDesk, May 2026), acquired at an average cost of **\$66,384/BTC**, total spend \$33.14B (bitbo.io, May 2026). Strategy's BTC holdings represent >60% of all Bitcoin held by publicly listed companies globally (LambdaFin, 2026).

Three instruments give different risk/return exposure to the same underlying:

- **BTC**: pure unlevered exposure, no corporate overhead, maximum convexity
- **MSTR**: leveraged equity, variable beta 1.8x–5x+ to BTC, mNAV premium/discount dynamics
- **STRC**: 11.5% perpetual preferred, trades near \$100 par, capital structure senior to MSTR

Revenue: TTM \$477.2M, net income –\$3.8B (unrealised BTC mark-to-market). Total liabilities: \$10.60B. USD cash reserves for STRC dividends: **\$2.25B** (21.8 months forward coverage).

02 — COMPETITIVE POSITION

The moat is the flywheel itself. At **\$62.18B market cap** (Yahoo Finance, May 2026), Strategy commands disproportionate capital markets access at scale. No other listed entity approaches this BTC accumulation velocity — Strategy raised \$25.3B in 2025 alone and targets 5–7% of total BTC supply (LambdaFin, 2026).

MSTR's advantage over direct BTC: deep options liquidity, equity index inclusion, regulated structure for mandates that cannot hold spot BTC.

STRC's advantage: \$8.5B market cap makes it the world's largest preferred stock (Seeking Alpha, 2026). Adjustable yield mechanism actively defends par value. Ondo Finance has tokenised STRC on-chain at the same 11.5% yield (CCN, 2026).

Vulnerabilities: (1) BTC price is the only real fundamental — all metrics collapse to BTC/USD. (2) Ongoing ATM dilution compresses BTC per share unless offset by BTC appreciation. (3) Convertible holders rank ahead of preferred, who rank ahead of common.

03 — FINANCIALS

MSTR / Strategy Inc — Key Metrics

METRIC	2024A	2025A/E	2026E
BTC Holdings	~450,000	~766,970	~843,738
Avg Cost/BTC	~\$43,000	~\$58,000	~\$66,384
BTC Yield YTD	N/A	N/A	9.4%
TTM Revenue	N/A	N/A	\$477.2M
Net Income	N/A	N/A	–\$3.8B
Total Liabilities	N/A	N/A	\$10.60B
Sources: CoinDesk May 2026, StockTitan May 2026, bitbo.io May 2026			

Note: P&L is dominated by unrealised BTC MTM gains/losses. Revenue and net income are near-irrelevant; BTC per diluted share and mNAV are the operative metrics.

STRC Preferred — Key Metrics

METRIC	CURRENT
Par value	\$100.00
Current price	~\$99.99 (StockTitan, May 8 2026)
Annual yield	11.50% (\$0.9583/share/month, paid monthly)
Dividend coverage	\$2.25B USD reserves (21.8 months)
Instrument size	\$8.5B (world's largest preferred)
Sources: Seeking Alpha 2026, BitcoinMagazinePro 2026, CCN 2026	

BTC — On-Chain Snapshot

METRIC	CURRENT
Price	~\$99,887 (see TIME-SENSITIVE FLAGS)
All-Time High	\$126,198 (October 6 2025, Statista)
MVRV Z-Score	0.41 — near fair value (AhaSignals, 2026)
MVRV Ratio	1.37 — mid-cycle healthy (AhaSignals, 2026)
Sources: Fortune May 2026, AhaSignals 2026, MacroMicro 2026	

04 — VALUATION**MSTR — mNAV Premium Framework**

SCENARIO	mNAV MULTIPLE	BTC PRICE	MSTR EQUITY
Bear trough	0.97x (Nov 2025)	\$60k–\$70k range	~\$130
Current	~1.16x–1.23x	~\$100k	~\$177
2024 peak	2.8x	\$100k+	\$500+
Bull target	2.0x–2.5x	\$150k+	\$450–\$550
Sources: Investing.com Mar 2026, TheBlock data, 247WallSt Apr 2026			

The mNAV compression from 2.8x to 1.16x is the central valuation story. At 1.16x, MSTR trades near NAV — either a floor (if BTC re-rates) or still elevated (if BTC declines).

STRC — Yield Framework: At \$99.99, yield-to-perpetuity is **11.5%**. Attractive vs. IG credit (~5.5–6.0%) and HY (~7.5–8.0%), but appropriate given structural subordination to convertibles and BTC-dependent long-term coverage. Risk is asymmetric: above \$60k BTC, clip 11.5%; below \$40k–\$50k, flywheel breaks and coverage becomes uncertain.

BTC — On-Chain Valuation: MVRV ratio 1.37 and Z-Score 0.41 indicate mid-cycle. Historically, MVRV >3.5 marks cycle tops; <1.0 marks bottoms. At 1.37, meaningful upside capacity without imminent top signal (AhaSignals, MacroMicro, 2026).

05 — THE DEBATE

BULL

The mNAV compression from 2.8x to 1.16x reflects post-ATH mean reversion, not structural repricing. As BTC recovers toward \$120k–\$150k, MSTR's premium historically re-expands in bull legs. Analyst consensus of \$374–376 (191% upside from April lows, 13 Buy/Strong Buy ratings — 247WallSt, Apr 2026) and asymmetric downside beta (BTC –22% YTD 2026 vs. MSTR –9.5% — Mitrade, Mar 2026) suggest institutional support at the NAV floor.

BEAR

The flywheel requires perpetual capital market access and BTC appreciation. With \$10.60B in liabilities and no organic revenue backstop, a \$60k BTC print exposes the cost basis, strains preferred dividend coverage, and risks MSTR re-rating to 0.8x–0.9x mNAV. The 11.31% short float (MarketBeat, May 2026) is mostly basis trades, but a violent BTC move down would force unwind.

VIEW

STRC is the most interesting instrument in the stack at current prices. At 11.5% yield with 21.8 months cash coverage and par-defending yield mechanism, it offers structurally protected income with genuine downside buffer vs. MSTR common. Direct BTC is cleaner than MSTR at 1.16x mNAV. MSTR is compelling only on a re-expansion thesis to 2.0x+ — that requires BTC >\$130k and positive narrative momentum.

06 — POSITIONING

MSTR: Short interest 11.31% of float (37.2M shares — MarketBeat, May 2026). Elevated, but CoinDesk (Feb 2026) confirms shorts are predominantly MSTR/BTC basis trades (long IBIT / short MSTR), not outright bearish. Jane Street confirmed paired long IBIT / short MSTR positions. This limits short squeeze risk but suppresses beta in sideways BTC environments.

Directional estimate: Consensus long / slightly crowded — 13 Buy ratings, wide coverage. Not under-owned. The 191% upside to consensus is known.

STRC: *Directional estimate:* Under-owned in traditional fixed-income mandates. Ondo Finance tokenisation expands to DeFi yield buyers. ATH daily volume of \$1.5B on May 14 2026 (MEXC News) signals accelerating discovery.

BTC: MVRV 1.37 = moderate holder profit. Not capitulation (<1.0) and not euphoria (>3.5). Mid-cycle recovery read.

07 — TRADEABLE EXPRESSION

Catalyst Calendar

- (1) BTC price vs. \$100k psychological level — ongoing test, May 2026
- (2) US Strategic Bitcoin Reserve policy signals — Q2/Q3 2026
- (3) MSTR next ATM raise + BTC purchase announcement — monthly cadence, next ~June 2026

Capital Stack Logic: Own BTC directly if you want pure unlevered exposure. mNAV premium means MSTR adds corporate overhead at current prices. Own MSTR if BTC is above \$100k and mNAV re-expansion to 2.0x+ is the thesis — equity beta then generates 3–5x BTC upside. Own STRC if you want BTC-adjacent income with capital structure priority — clip 11.5% monthly, accept no equity upside.

08 — WHAT TO MONITOR

BTC PRICE LEVELS	\$100k (resistance), \$126k (ATH recovery), \$60k (STRC coverage stress / MSTR NAV break)
MSTR mNAV	TheBlock dashboard — watch for >1.5x (bull signal) or <1.0x (bear signal)
STRC COVERAGE	USD reserve drawdown rate, announced monthly. Flag if below 12 months
BTC FUNDING RATE	CoinGlass.com/FundingRate/BTC — >0.10% 8hr = crowded longs, caution
MVRV Z-SCORE	AhaSignals / MacroMicro — >2.0 = rebalance; <0 = accumulate
SHORT INTEREST	MarketBeat MSTR — watch for basis trade unwind if BTC sustains >\$120k
STRC VOLUME	\$1.5B daily ATH on May 14 — sustained elevated volume = adoption signal

VAL — FAIR VALUE CONSTRUCTION

METHOD	IMPLIED VALUE	WEIGHT	NOTE
BTC MVRV-implied FV	\$95k–\$115k	40%	MVRV 1.37 mid-cycle
MSTR mNAV 1.5x target	~\$230	35%	[DIRECTIONAL ESTIMATE]
MSTR analyst consensus	\$374–\$376 avg	25%	13 Buy/1 Hold — 247WallSt/Yahoo Finance, Apr 2026

MSTR BLENDED ~\$270 RANGE \$177–\$450 +52% vs. current ~\$177
STRC BLENDED \$100 RANGE \$95–\$105 Yield-driven; price deviation is entry/exit signal

SCENARIOS — 20% BEAR / 50% BASE / 30% BULL**BEAR (20%) — BTC breaks \$60k; mNAV compresses to 0.9x; STRC coverage under pressure**

1M	BTC \$75k	MSTR \$120	STRC \$97
3M	BTC \$65k	MSTR \$90	STRC \$94
6M	BTC \$58k	MSTR \$70	STRC \$88
1Y	BTC \$55k	MSTR \$55	STRC \$82

BASE (50%) — BTC holds \$95k–\$110k; mNAV stable 1.2x–1.5x; STRC clips 11.5%

1M	BTC \$102k	MSTR \$195	STRC \$100
3M	BTC \$108k	MSTR \$220	STRC \$100
6M	BTC \$115k	MSTR \$260	STRC \$100
1Y	BTC \$120k	MSTR \$300	STRC \$100

BULL (30%) — BTC recovers to \$150k+; mNAV re-expands to 2.0x+

1M	BTC \$115k	MSTR \$250	STRC \$100
3M	BTC \$135k	MSTR \$340	STRC \$100
6M	BTC \$150k	MSTR \$430	STRC \$100
1Y	BTC \$180k	MSTR \$600	STRC \$100

BLENDED FV: 1M MSTR ~\$220 / STRC ~\$100 — 3M MSTR ~\$250 / STRC ~\$100

SENSITIVITY

BTC ±10%	MSTR ±18%–35% (variable beta 1.8x–3.5x)
mNAV expansion +0.5x turn	MSTR +40%+ at current BTC price
BTC breaks \$60k	STRC coverage risk; preferred at discount to par

USD reserve drawdown rate rises	STRC yield adjustment trigger, monitor monthly
Convertible debt maturity	MSTR dilution; BTC/share metric resets downward

TRADES

→ OPTIONS CONTEXT	MSTR: IV rank ~43rd pct [RECENT — AlphaQuery] · 30d IV ~88% (single source) · Call/put skew: [UNFOUNDED — check optioncharts.io/options/MSTR/volatility-skew] · 25Δ RR: [UNFOUNDED] BTC: Perp funding rate [UNFOUNDED — check coinglass.com/FundingRate/BTC] · On-chain MVRV 1.37 mid-cycle [AhaSignals 2026] STRC: No listed options. Income instrument only.
→ ENTRY VEHICLE	MSTR: Outright — IV at 43rd pct neutral zone; skew [UNFOUNDED] defaults to outright; no options edge confirmed. Use spread if IV re-checks above 70th pct before entry. BTC: Outright spot/IBIT — perp funding [UNFOUNDED]; avoid funding drag until confirmed <0.05% 8hr. STRC: No options available — outright hold for yield only.
→ RV TRADE	<i>(Conditional — do not execute until skew confirmed)</i> Sell COIN [~strike/expiry TBD] call / Buy MSTR [~strike/expiry TBD] call Entry condition: confirm MSTR vs. COIN call skew differential >3–5pp via optioncharts.io Exit: differential compresses to <1pp
→ CORE	Tranche A — Long BTC (spot/IBIT) · entry ~\$99,887 · TP \$130,000 (+30%) · SL \$75,000 (structural break, -25%) Tranche B — Long MSTR · entry \$170–\$185 · TP \$270 (blended FV, +52%) / \$374 (consensus, +111%) · SL \$130 (sub-NAV breach, -27%) Tranche C — Long STRC · entry at or below \$100 par · hold for 11.5% yield · SL \$94 (coverage stress signal, -6%)
→ EVENT	MSTR next BTC purchase ~June 2026 — add on confirmation if mNAV re-expanding above 1.3x STRC monthly dividend payment — reinvest at par if trading below \$99.50
→ HEDGE	Short IBIT / Long MSTR — beta-adjusted ratio (~0.3x IBIT short per 1x MSTR long) if pure mNAV premium-expansion play; cover hedge if BTC sustains >\$115k
→ ON-CHAIN	BTC-PERP: Enter if funding rate confirmed <0.05% 8hr (coinglass.com/FundingRate/BTC) MVRV Z-Score: Enter/add if <0.2; reduce if >2.0 (AhaSignals / MacroMicro)

SIZING

TRANCHE	ALLOCATION	RATIONALE
A — BTC (spot/IBIT)	3–5% book	Pure directional, most liquid exit, maximum convexity
B — MSTR	2–3% book	Size for mNAV re-expansion thesis, accept binary risk vs. BTC
C — STRC	2–4% book	Income tranche, size for yield contribution, not capital gains

MAX 10% NAV total BTC-complex exposure — **EXP RETURN (blended base/bull)**: 35–55% over 12 months — **MAX DD**: –30% Tranche A · –35% Tranche B · –10% Tranche C

TIME-SENSITIVE FLAGS & LOW-CONFIDENCE CAVEATS

BTC PRICE CONFLICT	Fortune (May 15 2026) reported \$80,120; more recent sources indicate ~\$99,887. Confirm at coinbase.com or coinglass.com before entry. All scenario prices use \$99,887 as base.
MSTR IV RANK	Single source (AlphaQuery, ~43rd pct). Verify at marketchameleon.com/Stock/MSTR/Options or barchart.com/stocks/quotes/MSTR/options before trading.
MSTR CALL/PUT SKEW	[UNFOUND]. Searched flashalpha.com , optioncharts.io , marketbeat.com — no 25Δ RR value returned. Check optioncharts.io/options/MSTR/volatility-skew before confirming ENTRY VEHICLE. If call skew bid >5pp vs. COIN, RV trade is live; if >70th pct IV, use spread not outright.
BTC PERP FUNDING RATE	[UNFOUND]. CoinGlass platform confirmed but no live rate extracted. Check coinglass.com/FundingRate/BTC — if >0.10% 8hr, avoid perp; use spot/IBIT only.
RV TRADE EXECUTION	Do not execute COIN/MSTR skew trade until differential confirmed >3–5pp. Skew data needed from optioncharts.io before sizing.
MSTR SHORT INTEREST BASIS	11.31% short float is predominantly basis trades (long IBIT / short MSTR — CoinDesk Feb 2026, Jane Street confirmed). Not outright bearish. Monitor if BTC sustains >\$120k for potential basis unwind squeeze.
STRC DIVIDEND COVERAGE	\$2.25B reserves = 21.8 months. Monitor monthly announcements. Flag if drawdown rate accelerates or reserve falls below 12 months.
OPTIONS DATA SOURCE	MSTR options data searched but limited to single or dated sources. All options data labeled [RECENT] or [UNFOUND] per confidence tier protocol. No options data fabricated.